

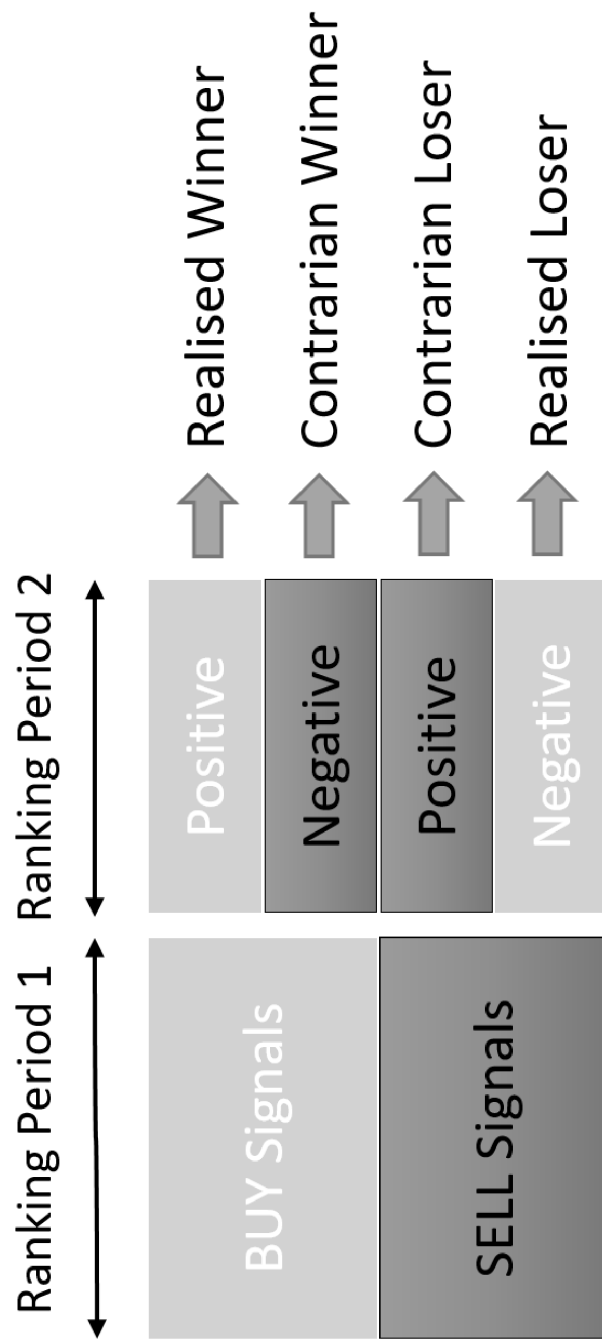


Figure 1: Decomposition of trend-following strategies.

This figure illustrates how the four sub-portfolios of trend-following strategies: realised winner, realised loser, contrarian winner and contrarian loser are constructed. Ranking period 1 refers to the conventional trend-following look-back period j . Ranking period 2 is the trend-following holding period, which examines whether these winner/loser signals generated from ranking period 1 are realised or not.